

bank in the country. Wells Fargo's \$14.5 billion in commercial loans was five times its equity. Because California's recession was worsening, analysts figured that a large portion of the bank's commercial loans would sour. It was this that caused Wells Fargo's share price to decline in 1990 and 1991.

In the wake of the Federal Savings and Loan Insurance Corporation (FSLIC) debacle, bank examiners rigorously reviewed Wells Fargo's loan portfolio. They pressured the bank to set aside \$1.3 billion in reserves for bad loans in 1991 and another \$1.2 billion the following year. Because reserves were set aside every quarter, investors began to feel squeamish with each subsequent announcement. Instead of taking one large charge for loan reserves, the bank strung out the charges over a period of two years. Investors began to wonder whether the bank would ever reach the end of its problem loans.

After Berkshire announced its ownership of Wells Fargo in 1990, the stock price climbed briefly, reaching \$98 in early 1991 and providing Berkshire with a \$200 million profit. But then, in June 1991, the bank announced another charge to reserves and the stock price fell 13 points in two days to \$74. Although the stock price recovered slightly in the fourth quarter of 1991, it became clear that Wells Fargo would have to take yet another charge against earnings for additions to its loan loss reserves. At year-end, the stock closed at \$58 per share. After a roller coaster ride, Berkshire's investment was breaking even. "I underestimated the severity of both the California recession and the real estate troubles of the company," Buffett confessed.³⁹

Tenet: Determine the Value

In 1990, Wells Fargo earned \$711 million, an 18 percent increase over 1989. The next year, because of loan loss reserves, the bank earned \$21 million. A year later, earnings increased slightly to \$283 million—still less than half the earnings just two years earlier. Not surprisingly, there is an inverse relationship between a bank's earnings and its loan loss provisions. But if you remove Wells Fargo's loan loss provisions from the income statement, you uncover a company with dynamic earnings power. Since 1983, the bank's net interest income had grown at an 11.3 percent rate, and